

ALPHA FIRE SERVICES PLC



Interim Financial Report Period Ended 31 March 2024



*DECADES OF EXCELLENCE IN FIRE
FIGHTING SINCE 1989*

ALPHA FIRE SERVICES PLC
STATEMENT OF COMPREHENSIVE INCOME

	Quarter ended 31 March		Change	Year Ended 31 March		Change
	2024	2023	%	2024	2023	%
	Rs.	Rs.		Rs.	Rs.	
Revenue	74,553,599	78,898,397	-6%	326,572,741	289,663,882	13%
Cost of sales	(34,283,063)	(50,057,811)	-32%	(195,587,901)	(210,106,707)	-7%
Gross profit	40,270,536	28,840,586	40%	130,984,840	79,557,175	65%
Other Income	-	-		-	859,970	-100%
Administrative expenses	(17,272,379)	(12,423,792)	39%	(53,691,071)	(37,320,093)	44%
Selling and distribution expenses	(10,819,736)	(7,105,967)	52%	(28,531,548)	(17,763,511)	61%
Profit from operations	12,178,421	9,310,827	31%	48,762,221	25,333,541	92%
Finance income	1,646,707	698,848	136%	4,576,427	2,649,685	73%
Finance expenses	(2,975,860)	(4,759,217)	-37%	(13,295,064)	(12,778,380)	4%
Net finance income / (expenses)	(1,329,153)	(4,060,369)	-67%	(8,718,637)	(10,128,695)	-14%
Profit before taxation	10,849,268	5,250,458	107%	40,043,584	15,204,846	163%
Income tax expenses	(5,436,275)	(1,153,993)	371%	(12,844,366)	(1,225,241)	948%
Profit after taxation	5,412,993	4,096,465	32%	27,199,218	13,979,605	95%
Other comprehensive income						
Revaluation on property, plant and equipment	-	-		-	35,429,537	
Depreciation against revaluation reserve	(2,454,382)	-		(2,454,382)	-	
Tax Charge /(Reversal) on revaluation	3,464,633	-		3,464,633	(10,628,861)	
Other comprehensive income for the year	1,010,251	-	100%	1,010,251	24,800,676	-96%
Total comprehensive income	6,423,244	4,096,465	57%	28,209,469	38,780,281	-27%
Earning per share (Rs.)	0.14	0.11		0.72	0.37	
Dividend per share (Rs.)	0.12	-		0.12	-	

ALPHA FIRE SERVICES PLC
STATEMENT OF FINANCIAL POSITION

As at	31 March 2024	31 March 2023
	Rs.	Rs.
Assets		
Non-current assets		
Property, plant & equipment	72,386,828	60,449,600
Term deposits	30,335,357	29,086,992
Total non-current assets	102,722,185	89,536,592
Current assets		
Inventories	87,100,552	73,978,714
Trade and other receivables	71,835,011	78,893,320
Cash margin account	10,429,147	4,140,451
Cash and cash equivalents	13,823,893	6,742,585
Total current assets	183,188,603	163,755,070
Total assets	285,910,788	253,291,662
Equity and liabilities		
Equity		
Stated capital	76,429,460	25,569,560
Revaluation reserve	27,345,394	26,335,143
Retained earnings	45,126,471	22,481,253
Total equity	148,901,325	74,385,956
Non-current liabilities		
Retirement benefits obligation	4,517,125	3,553,750
Bank borrowings	1,833,317	10,827,583
Deferred tax liabilities	5,788,233	9,262,606
Total non-current liabilities	12,138,675	23,643,939
Current Liabilities		
Lease liabilities	-	409,403
Bank borrowings	10,563,270	19,833,341
Amount due to related parties	711,363	12,598,136
Loan from related parties	-	10,000,000
Short term bank borrowings	33,196,850	29,840,616
Trade and other payables	33,927,775	55,418,797
Income tax payable	12,953,792	2,946,463
Bank overdrafts	33,517,738	24,215,011
Total current liabilities	124,870,788	155,261,767
Total liabilities	137,009,463	178,905,706
Total equity and liabilities	285,910,788	253,291,662
Net Assets Value Per Share	3.92	1.96

I certify that the above Financial Statements comply with the requirements of the Companies Act No. 7 of 2007.



Head of Finance

The Board of Directors is responsible for the preparation and presentation of these Financial Statements.
 Approved and signed on behalf of the Board of Directors.



Chairman
 27 May 2024



Director

ALPHA FIRE SERVICES PLC
STATEMENT OF CHANGES IN EQUITY

	Stated capital <u>Rs.</u>	Revaluation reserve <u>Rs.</u>	Retained earnings <u>Rs.</u>	Total <u>Rs.</u>
Balance as at 01 April 2022	25,569,560	1,534,467	8,501,648	35,605,675
Other Comprehensive Income for the period	-	24,800,676	-	24,800,676
Total comprehensive income for the year				
Profit for the year	-	-	13,979,605	13,979,605
Balance as at 31 March 2023	25,569,560	26,335,143	22,481,253	74,385,956
Balance as at 01 April 2023	25,569,560	26,335,143	22,481,253	74,385,956
Rights Issue	50,859,900	-	-	50,859,900
Other Comprehensive Income for the period	-	1,010,251	-	1,010,251
Total comprehensive income for the year				
Profit for the year	-	-	27,199,218	27,199,218
Interim Dividend			(4,554,000)	(4,554,000)
Balance as at 31 March 2024	76,429,460	27,345,394	45,126,471	148,901,325

ALPHA FIRE SERVICES PLC
STATEMENT OF CASH FLOWS

<i>For the year ended 31 March</i>	2024	2023
	Rs.	Rs.
Cash flows from operating activities		
Profit before taxation	40,043,584	15,204,846
Adjustments for:		
Depreciation of property plant and equipment	1,873,893	2,230,307
Gratuity	1,319,625	192,250
Revaluation deficit on property, plant and equipment	-	386,397
Profit on disposal of property, plant and equipment	-	(750,000)
Provision for Inventory	-	3,912,518
Assets Written off	-	281,664
Interest income	(4,576,427)	(2,649,685)
Loan interest	6,695,353	7,625,549
Lease interest	20,936	235,246
Operating profit before changes in working capital	45,376,964	26,669,093
Changes in working capital		
Increase/ (decrease) in inventories	(13,121,838)	1,512,897
(Decrease) / increase in trade and other receivables	7,058,309	(42,881,053)
Increase in amount due to related parties	(11,886,773)	(14,054,968)
Decrease in trade and other payables	(21,491,022)	4,783,872
Cash generated from / (used in) operations	5,935,640	(23,970,160)
Income tax paid	(2,846,790)	(696,258)
Gratuity paid	(356,250)	(428,750)
Net cash flow generated from / (used in) operating activities	2,732,600	(25,095,168)
Cash flows from investing activities		
Acquisition of property, plant and equipment	(16,117,208)	(344,967)
Proceeds on disposal of property, plant and equipment	-	750,000
Interest Income	529,475	120,427
Withdrawal of Fixed Deposit	2,629,370	1,136,438
(Investment in) /withdrawal of cash margin	(6,288,697)	(2,574,815)
Net cash flow used in investing activities	(19,247,060)	(912,918)
Cash flows from financing activities		
Received from Share Issues (Rights Issue)	50,859,900	-
Interim dividend paid	(4,554,000)	-
Long term loan (paid) / received	(18,264,337)	11,721,375
Short term loan (paid) / received	3,356,234	20,301,324
Loan interest paid	(6,695,353)	(7,449,430)
Lease rental paid	(409,403)	(1,762,728)
Received /(settlement) of related parties' loan	(10,000,000)	5,000,000
Net cash flow (used in)/generated from financing activities	14,293,041	27,810,541
Net changes in cash and cash equivalents during the year	(2,221,418)	1,802,456
Cash and cash equivalents at beginning of the year	(17,472,426)	(19,274,882)
Cash and cash equivalents at end of the year	(19,693,845)	(17,472,426)

ALPHA FIRE SERVICES PLC
NOTES TO THE FINANCIAL STATEMENTS
For the year ended 31 March

1 Basis of Preparation

The interim Financial Statements have been prepared in accordance with Sri Lanka Accounting Standard for Small and Medium-sized Entities ("SLFRS for SMEs") and the same accounting policies and methods set out in the Audited Financials Statements for the year ended 31st March 2023 and are in compliance with LKAS 34 – Interim Financial Reporting. The presentation and classification of comparative information have been amended where relevant. The interim financial statements are not audited.

2 Contingencies

The Company does not have any other significant contingent liabilities outstanding as at the reporting date which require adjustments to or disclosure in the financial statements.

3 Events occurring after the reporting date

There were no material events occurring after the reporting date which require adjustments to or disclosures in the financial statements.

4 Rights Issue

The Company has raised the fund Rs.50.8 Mn by rights issue for the said objectives of the circular. The status of the utilization of the fund for the objectives is listed below.

Objective as per circular	Amount Allocated by Circular	% Total Proceeds	Amount Utilized	% Utilized
Working Capital Requirement	Rs.40.8 Mn	80.3%	Rs.40.8 Mn	100%
Repayment of Debts	Rs.10 Mn	19.7%	Rs.10 Mn	100%

5 Subdivision of Shares

Shareholders of the Company at its Extraordinary General Meeting held on 16 January 2024 has approved that the number of ordinary shares of the Company in issue be increased by way of a sub-division of shares where by one (01) ordinary share was subdivided in to five (5) ordinary shares. The resulting number of shares after the sub-division is 37,950,000. There was no change to the stated capital of the Company subsequent to the said sub-division of shares. The company has concluded the sub-division on 26 January 2024.

6 Interim Dividend

The Company had declared and paid an interim dividend of Rs.0.12 per share, amounts to Rs.4,554,000 during the reporting period.

7 Capital Expenditure

The Company has incurred Rs.16,117,208 for capital expenditure for the reporting period.

8 Management Fee

The Company has made a provision for Management Fee Rs.7.2 Mn payable to M/S Amtek Engineering (Pvt) Ltd for the reporting period.

9 Earning per share

Earnings per share is calculated by dividing the profit attributable to the equity holders by number of ordinary shares in issue during the reporting period.

	31 March 2024	31 March 2023
Net profit attributable to equity holders (Rs.)	27,199,218	13,979,605
Number of shares in issue	37,950,000	37,950,000
Earnings Per Share (Rs.)	0.72	0.37

10 Net Assets per share

Net Assets per share is calculated by dividing the total equity by number of ordinary shares in issue during the reporting period.

	31 March 2024	31 March 2023
Total Equity	148,901,325	74,385,956
Number of shares in issue	37,950,000	37,950,000
Net Assets Per Share (Rs.)	3.92	1.96

ALPHA FIRE SERVICES PLC
NOTES TO THE FINANCIAL STATEMENTS

For the year ended 31 March

11 Transactions with Related parties

Name of Related Parties and the Relationship	Transaction	Transaction during the Period	
		31 March 2024	31 March 2023
Amtek Engineering (Pvt) Ltd -	Office Expenses		
Common Directors	Reimbursement	2,580,000	1,620,000
Mr. Sanjay Vijith Anthony Perera	Management Fee	7,200,000	7,200,000
Mr.Malindra Christopher Fernando	Loan Settled	10,000,000	2,008,452
Mr.Samud Gunasekera	Loan Received	-	5,000,000
Dataone Solutions (Pvt) Ltd -			
Common Directors			
Mr. Sanjay Vijith Anthony Perera	Loan Settled	-	4,474,948
Mr.Malindra Christopher Fernando	Support Service	1,375,000	1,043,000
	Purchases	-	6,319,808
	Payment Made	-	6,319,808
Mrs.Deanna Ryde	Rent	480,000	480,000
Directors Fee		520,000	520,000

ALPHA FIRE SERVICES PLC

SHAREHOLDERS INFORMATION

The issued ordinary shares of the Company is 37,950,000

LARGEST 20 SHAREHOLDERS AS OF 31 MARCH 2024

	NAME OF THE SHAREHOLDERS		NO OF SHARES	%
1	MR. S.V.A. PERERA	10,466,500		
	DFCC BANK PLC/MR.S.V.A.PERERA	539,000	11,005,500	29.00%
2	MR. M.C. FERNANDO	7,896,375		
	DFCC BANK PLC/MR.M.C.FERNANDO	13,750	7,910,125	20.84%
3	MR. A.S.I. GUNASEKERA		3,819,445	10.06%
4	PEOPLE'S LEASING & FINANCE PLC/ULTRAKLEEN (PVT) LTD		2,399,070	6.32%
5	SANDWAVE LIMITED		1,977,072	5.21%
6	MR. F.A. RYDE		1,690,500	4.45%
7	MR. D.A. RYDE		1,690,500	4.45%
8	MRS. M.P.R. SILVA		1,161,904	3.06%
9	TRADING PARTNERS (PVT) LTD		1,000,000	2.64%
10	MR. J.R. VICTORIA		688,675	1.81%
11	PEOPLE S LEASING AND FINANCE PLC/U.L.B.ARIYARATNA		500,000	1.32%
12	MR. R.J.A. GUNAWARDENA		486,370	1.28%
13	MISS H.I. LOKUGE		375,000	0.99%
14	MRS. C. DISSANAYAKE		335,000	0.88%
15	PEOPLE'S LEASING & FINANCE PLC/L.P.HAPANGAMA		277,500	0.73%
16	MR. M.M. FUAD		225,230	0.59%
17	MR. B.T. DE S WEERASOORIA		200,000	0.53%
18	LOLC FINANCE PLC/Y.M. AMBANI		170,000	0.45%
19	MR. A.S. ATAPATTU		162,063	0.43%
20	MRS. I.M. AMARASIRIWARDANE		152,190	0.40%
	Others		1,723,856	4.54%
	Total		37,950,000	100.00%

Public Holding

Public Holding - No of Shares	9,434,860
Public Holding as a % of Issued Share Capital	24.86%
Total No. of Shareholders representing the Public Holding as at 31 March 2024	293

Directors' Shareholding

	No of Shares
Mr. Sanjay Vijith Anthony Perera	11,005,500
Mr.Malindra Christopher Fernando	7,910,125
Mrs. Deanna Marise Ryde	Nil
Mr. Agampodi Samud Ishara Gunasekera	3,819,445
Mr. Kapila Liyanagamage	Nil
Mr. Nivran Weerakoon	Nil

Share Price

31 March 2024

Highest Price	7.60
Lowest Price	5.50
Last Traded Price	7.60

Corporate Information

The Company Registered Office

Alpha Fire Services PLC
No, 28, Sulaiman Terrace, Colombo-05
Sri Lanka
Tel: +94 11 508 888 / 0777 747 317
Fax: +94 112 503 392
Web: <http://alphafire.lk>

Legal Form of the Company

Incorporated in Sri Lanka on May 07, 2003 and reregistered on October 16, 2007 as a Private Limited Liability Company under the provisions of Companies Act No. 7 of 2007. The legal form of the company was changed from Limited Company to Public Listed Company under provision of the section 8 of the Companies Act No. 07 of 2007 on July 04, 2022

Company Registration Number (as a Public Company)

PQ00248999

Place of Incorporation

Colombo, Sri Lanka

Company Secretaries

Ms. F. S. Ismail
168/5, Elvitigala Mawatha,
Colombo 08,
Sri Lanka
Tel: +94 11 2695009

Auditors

M/s KPMG
(Chartered Accountants)
32A, Sir Mohamed Macan Markar Mawatha,
Colombo 03,
Sri Lanka
Tel: +94 11 5426426
Fax: +94 11 2445872

Board of Directors

Mr. Sanjay Vijith Anthony Perera	Chairman/Managing Director /Executive Non-Independent Director
Mr. Malindra Christopher Fernando	Executive Non-Independent Director
Mrs. Deanna Marise Ryde	Co-Founder/Non-Executive Non- Independent Director
Mr. Agampodi Samud Ishara Gunasekera	Executive Non-Independent Director
Mr. Kapila Liyanagamage	Independent Non-Executive Director
Mr. Nivran Weerakoon	Independent Non-Executive Director